

SAN JUAN BASIN ROYALTY TR SJT

October 30, 2025 - 1:22pm EST
by GLSV

			2025	2026
Price:	5.45	EPS	0.50	0.5
Shares Out. (in M):	47	P/E	11	11
Market Cap (in \$M):	254	P/FCF	11	11
Net Debt (in \$M):	0	EBIT	22	22
TEV (in \$M):	254	TEV/EBIT	11	11

Description

Business Background

Established in 1980, SJT operates as a royalty trust structure. The company receives a 75% royalty interest from oil & gas properties in the San Juan Basin of northwestern New Mexico. This royalty interest is the trust's sole asset. It is administered by a corporate trustee on behalf of unit holders. There are ~46m units of beneficial interest outstanding. The trustee collects the royalty income, pays Trust expenses, and then distributes remaining cash flow to unit holders historically on a monthly basis. In other words, this is a passive entity that receives and disburses income. The distribution policy is such that the trust must distribute all cash available after deducting administrative expenses and maintaining a small cash reserve (\$2 million) to cover contingencies. Other than disbursing cash, the Trustee duties include periodic audits of the operator, regulatory filing, and enforcing Trust's rights. Total trust expenses are relatively immaterial at ~\$2m per year. The trust has no termination provision (i.e. it will continue indefinitely) until gross revenue is <\$1m for two consecutive years or >75% of unitholders vote to dissolve.

Hilcorp is the private operator of the underlying properties, acquiring them from Burlington Resources in July 2017. Hilcorp has discretion over decisions on drilling new wells, recompletions, workovers, and plugging/abandoning wells when warranted. Hilcop reports gas revenues on an accrual basis with a one-month lag for plant processing adjustments. An additional nuance for the trust is that any capital programs by Hilcorp are charged to production costs and any deficit must be recouped before the Trust receives cash flow. In practice, the Trust records net proceeds on a monthly basis, which is defined as gross proceeds less production costs including a capital charge, taxes, gathering/transport costs, etc. If production costs exceed gross proceeds, the shortfall becomes 'excess production costs' and carried forward until it is fully recovered.

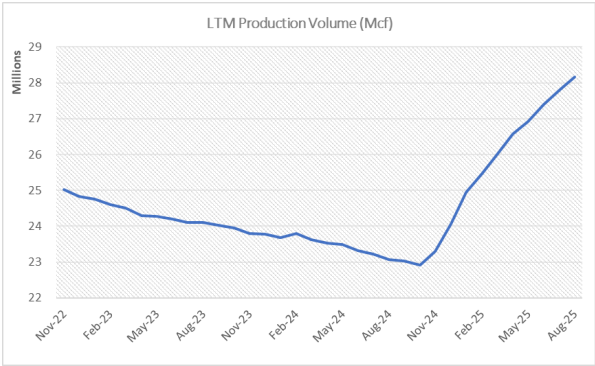
Regarding the resource profile, the San Juan Basin is overwhelming natural-gas oriented. On an LTM basis, 97% of gross revenue reported by Hilcorp is gas, and 3% is from oil and condensate. The Trust's underlying properties have generally experienced a gradual decline in output over the past several years. Gross production was ~27.6 bcf of natural gas in 2019, ~24.5 bcf in 2022 and ~23.5 bcf in 2023. This represents a LSD% CAGR, which is typical for more mature gas wells with intermittent capital investment. The reserve life that gets reported will vary with natural gas prices. For instance, in 2021 amidst higher prices the Trust's engineer estimated ~147 bcf of proved gas reserves. The reality is that the gradual decline rates can allow the wells to produce for a long time, with some existing wells dating back to the 1980s-90s.

Basin pricing is generally at a discount to Henry Hub due to the location and pipeline constraints. In recent years this has averaged ~\$0.50/MMBtu. From the San Juan Basin, natural gas primarily flows through the interstate pipelines El Paso Natural Gas (Kinder Morgan), Transwestern Pipeline (Energy Transfer) and Northwest Pipeline. ET also reached FID on a 1.5 bcf/d greenfield pipeline from West Texas to Central Arizona bypassing the San Juan route (in-service 2029) which in theory could free up capacity on the northern route for San Juan gas vs. having to compete with Permian molecules. Gas is delivered to multiple regions, but primarily marketed in Arizona, Nevada and California. Pricing received is driven by local market dynamics and can differ significantly from quoted Henry Hub prices. Unlike other basins, there is a lack of in-basin storage capacity such that San Juan producers rely on storage downstream. Total downstream inventory capacity in the region is still relatively small such that periods of extreme weather can result in wide swings in differentials. Below is a table of realized pricing vs. Henry Hub over the last few years for illustrative purposes.

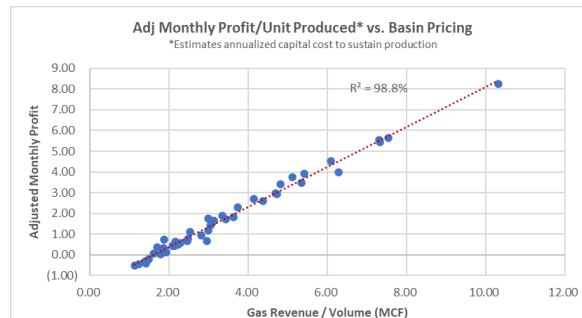
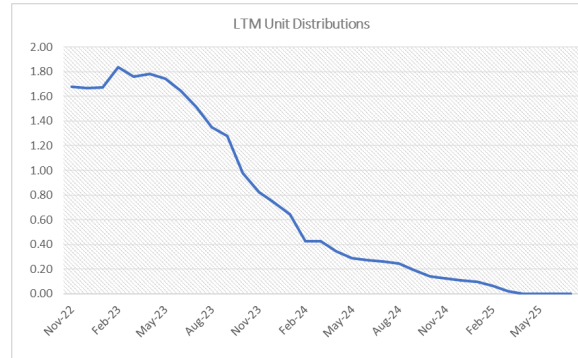
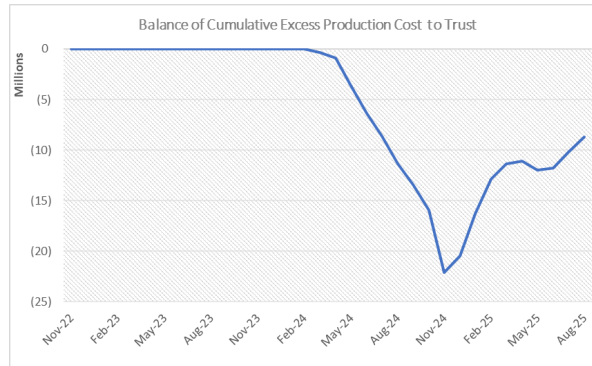
Month	SJT Realized Price (\$ Rev/Mcf)						HH Pricing (\$/mmbtu)						Spread vs. HH					
	2022	2023	2024	2025	Avg		2022	2023	2024	2025	Avg		2022	2023	2024	2025	Avg	
Jan	5.42	3.44	3.64	3.74	4.06		4.87	2.68	2.10	3.04	3.18		0.55	0.76	1.54	0.70	0.89	
Feb	4.70	6.29	3.06	3.36	4.35		4.42	2.86	1.86	3.83	3.24		0.28	3.43	1.20	(0.47)	1.11	
Mar	4.15	3.00	1.50	2.82	2.87		5.64	2.22	1.76	4.12	3.44		(1.49)	0.79	(0.27)	(1.30)	(0.57)	
Apr	4.82	2.17	1.24	1.87	2.53		7.36	2.58	1.99	3.64	3.89		(2.54)	(0.40)	(0.75)	(1.76)	(1.36)	
May	6.09	1.71	1.14	1.62	2.64		8.15	2.27	2.59	3.45	4.11		(2.06)	(0.55)	(1.45)	(1.82)	(1.47)	
Jun	7.32	1.88	1.41	2.24	3.21		5.39	2.77	2.60	3.49	3.56		1.93	(0.89)	(1.19)	(1.25)	(0.35)	
Jul	5.12	2.53	1.94	2.48	3.02		8.23	2.63	2.04	3.11	4.00		(3.10)	(0.10)	(0.10)	(0.63)	(0.98)	
Aug	7.54	3.09	1.79	2.29	3.68		9.19	2.77	2.13	3.00	4.27		(1.65)	0.32	(0.34)	(0.71)	(0.59)	
Sep	7.32	2.46	1.42	-	3.73		6.77	2.93	2.92	3.30	3.98		0.56	(0.47)	(1.50)	-	(0.47)	
Oct	4.73	2.14	1.92	-	2.93		6.61	3.81	2.71	3.34	4.12		(1.88)	(1.67)	(0.79)	-	(1.45)	
Nov	5.36	2.96	2.10	-	3.47		6.93	2.80	3.36	-	4.37		(1.57)	0.16	(1.26)	-	(0.89)	
Dec	10.32	2.99	3.14	-	5.48		4.10	2.33	3.10	-	3.18		6.22	0.66	0.04	-	2.31	
Avg	6.07	2.89	2.02	2.55	3.39		6.47	2.72	2.43	3.43	3.76		(0.40)	0.17	(0.41)	(0.91)	(0.38)	
YTD Avg	5.65	3.02	1.96	2.55	3.29		6.66	2.60	2.13	3.46	3.71		(1.01)	0.42	(0.17)	(0.91)	(0.42)	

Recent Developments

Hilcorp formulated a capital plan in 2024 and drilled two horizontal wells in the Mancos Shale, a historically under-developed formation. Per disclosures, the capital budget was \$34m, of which \$25m was spent on the horizontal wells. The remainder of the budget went toward 22 recompletions/workovers and other expenses. This injection of capital has reversed the moderate pace of production declines with the most recent LTM reported volumes up ~25% from their local low in late 2024.



Considering the aforementioned nature of the trust structure, the large capital spend created a significant net proceeds deficit and all distributions to unitholders were ceased in 2024. In other words, the Trust was charged 75% of the development cost and it needs to "earn back" that cost as well as replenish a \$2 million reserve before distributions resume. The chart below shows the evolution of the cumulative deficit to-date. Looking ahead, we have to make assumptions for a combination of gas prices and ongoing maintenance capital costs (note: the 2023 baseline capital charge was \$3m, the latest three months annualized is \$8m). Assuming near-term gas prices remain consistent with how they have traded vs. prior year (no guarantees, obviously) and capital charges annualize closer to \$8m, we estimate the trust will be able to earn back the excess production cost and reseve by the end of the year such that distributions restart in early 2026. From there, so long as there is not another big capital investment program (which seems unlikely given current natural gas prices), investors can imminently expect to receive normal monthly distributions from the trust. Below we also show an LTM history of distributions to unitholders. Because the trust is a pass-through entity and revenue is ~97% tied to natural gas, the correlation of monthly profits and distributions has a ~99% r-squared with realized pricing for the basin (shown in table above). Layering in an estimate for volume produced one can then easily estimate the annualized profit/distributions per share for a given gas price. To spare you the math and illustrate profit across a range of outcomes a table is provided below (note that it is based realized price not Henry Hub). This is meant to be directionally right, but you can clearly see the idea that once the cumulative excess production cost is earned back, shareholders, even at current low natural gas prices, have the opportunity to buy into an attractive double digit yield with optionality to higher natural gas prices in the future.



SJT Price:	5.43
Shares:	46.61
Est. Vol.	27.7

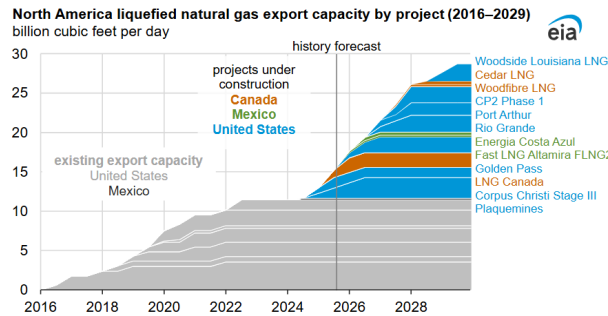
Gas Price	Profit / Unit	Total Profit	Est. Distrib.	Yield
2.00	1.3	36.8	0.8	14.5%
2.50	1.5	42.4	0.9	16.7%
3.00	1.8	49.2	1.1	19.4%
3.50	2.1	57.3	1.2	22.6%
4.00	2.4	66.6	1.4	26.3%
4.50	2.8	77.1	1.7	30.5%
5.00	3.2	88.9	1.9	35.1%
5.50	3.7	102.0	2.2	40.3%
6.00	4.2	116.2	2.5	45.9%

US Natural Gas Supply / Demand Dynamics

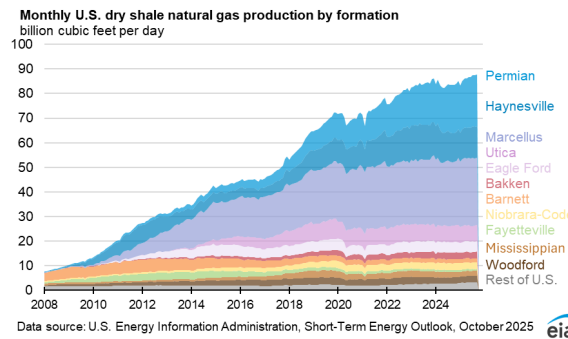
To say that natural gas investing has been a disaster for the past 25 years is probably an understatement. Spot gas prices seasonally peaked in 2005 and are down ~75% since due the the shale gas revolution and resultant inability

to clear excess supply. This also is despite ~50% growth in demand over the course of the 2010s. Electric power (34%), Industrial (22%), and consumer/commercial heating are the primary end markets. The US produced ~105 bcf/day in gas last year. Shifting trends in the supply/demand balance, however, have the potential to improve natural fundamentals at the margin. Per the above, we don't think we need an improvement in natural gas prices to generate a sufficient return on this investment, but we do like the 'optionality' it provides. Consider the following:

- LNG - Export capacity is in the process of doubling over the next five years and could ultimately add as much as 20 bcf/day over the next decade. Per EGT, the US is on track to exit 2025 with over 4 Bcf per day of incremental LNG demand compared to year-end 2024. Golden Pass and Corpus Christi Stage 3 expansion are expected to add another 2.5-3 Bcf/day of demand by year-end 2026. The EIA estimates the US will add 13.9 bcf/d of export capacity between 2025 and 2029 ([link](#)). This incremental capacity is likely to be filled considering the price differential between US and RoW inclusive of the ~\$2.50 'liquefaction fee' to move the gas.

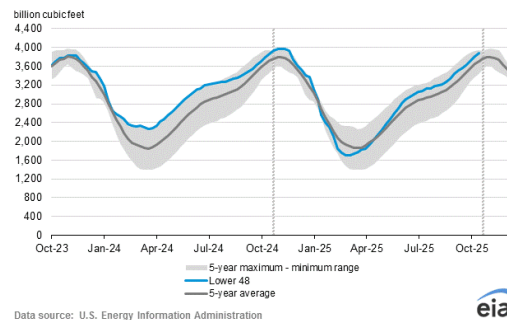


- AI-related Demand Data Points
 - GE Vernova - Hyperscalers account for 10% of current demand, however, they account for one-third of the pipeline. Turbines are sold out through 2028, with power orders up 50% and electrification orders up 102% ([link](#))
 - Georgia Power (a fast-growing, secondary market for data centers) is asking regulators to approve 10 GW of new power generation (a 42% increase in generation capacity) to meet unprecedented demand. Approximately 60% of the new generating capacity would come from natural gas ([link](#))
 - S&P Global estimates ~50 GW of demand is being added over the next few years. Assuming natural gas gets slightly more than its fair share in the near-term due to relative fast time to power (SMRs do not exist yet in the US while the last nuclear power plant built in the US was significantly late & over-budget, which taken together point to nuclear as only a long-term option), this could add another ~5%-10% of incremental natural gas demand. Rough math is 1GW translates to ~0.2 bcf/day of natural gas demand.
- Supply - Per EGT, 'rig reductions in capital discipline we've seen across major oil basins this year are beginning to translate into lower associated gas growth, particularly from the Permian.' MS estimates that 30% of Haynesville wells need >\$4 Henry Hub to generate a sufficient return. Growth in Appalachia, the lowest cost source of dry gas with significant inventory, will likely be limited to meet demand growth in-region as it is unlikely that interstate pipeline capacity can/will be approved near-term (high prices could change incentives for the various stakeholders, most importantly the regulators).

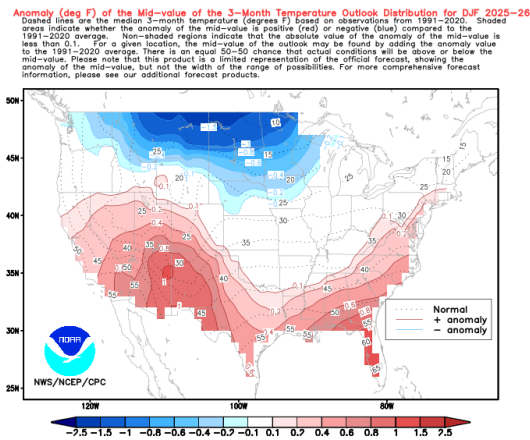


Current Fundamentals

- Inventory - we are on the cusp of exiting the injection season with inventory currently above (~5%) the 5-year average at 3.9 Tcf. Comparing the magnitude of recent injections vs. what is implied by the number of heating/cooling degree days indicates that injections have been slightly below levels implied by recent history. Historically this dynamic has been supportive to short-term trends in natural gas prices (not shown here), but it also tends to fluctuate and is not a big part of the thesis.



- Weather - who really knows, but figured it is worth mentioning. The CPC is forecasting a higher probability of a warm winter across the southern US which is obviously not helpful in the short-term ([link](#)).



Conclusion

SJT is pass-through royalty business with near-term catalysts presenting shareholders with a reasonable return; and provides long-term optionality or more substantial returns if changes in the structural supply/demand dynamics for natural gas improve along the lines presented herein.

Risks

- AI capital cycle implodes/orders cancelled and/or technological shifts reduce compute/power requirements -> incremental natural demand never shows up
- Another big capital program from Hilcorp
- Warm weather

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I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

- Imminent resumption of distributions to shareholders
- Growing US natural gas demand to help meet incremental AI power demand + current expansion of US LNG export capacity + soft oil prices mitigating growth in associated gas supply
- Cold weather

Messages

Subject Formula Error
Entry 10/30/2025 03:15 PM
Member GLSV

The formula for profit/unit of gas produced had a wrong locked cell reference. Below is the adjusted table, apologies. The effect is to make the distributions lower/higher at the tail ends of the gas price spectrum presented below.

SJT Price:	5.7			
Shares:	46.61			
Est. Vol.	27.7			
<u>Gas Price</u>	<u>Profit / Unit</u>	<u>Total Profit</u>	<u>Est. Distrib.</u>	<u>Yield</u>
2.00	0.3	7.5	0.2	2.8%
2.50	0.8	22.2	0.5	8.3%
3.00	1.4	38.1	0.8	14.3%
3.50	2.0	55.2	1.2	20.8%
4.00	2.7	73.6	1.6	27.7%
4.50	3.4	93.2	2.0	35.1%
5.00	4.1	114.0	2.4	42.9%
5.50	4.9	136.1	2.9	51.2%
6.00	5.8	159.5	3.4	60.0%

Subject Re: Formula Error
Entry 10/30/2025 03:40 PM
Member Light62

Thanks. Why were distributions only ~\$1.70 in 2022 (~\$1.85 if lagged) when gas averaged \$6.00 if you're expecting double that at \$6.00 gas today?

Subject Re: Re: Formula Error
Entry 10/30/2025 04:56 PM
Member GLSV

Fair point...all else equal it should be ~20% higher +/- because production volumes are higher today. The table is meant for illustrative purposes and is highly sensitive to the slope of the regression especially at the tails whereby small adjustments can have a big impact. If I grab some more historical data points and update it would imply a distribution closer to \$2.5 which is probably closer to correct. Note that even making those adjustments it doesn't really change the estimated distribution with gas prices around \$4-\$4.50 (which is probably the central tendency we can expect). If gas is averages \$6 it would be a very positive outcome.

Subject Twitter thread on the undeveloped reserve opportunity
Entry 10/31/2025 12:00 AM
Member Stevedean

Very interesting twitter thread on SJT from a year ago https://x.com/TomLoughrey_LFE/status/1833254050097189002

Subject Re: Re: Re: Formula Error
Entry 10/31/2025 05:31 AM
Member TheBeautyContest

Thanks for the idea, GLSV.

"To spare you the math and illustrate profit across a range of outcomes a table is provided below"

I don't want to be spared from maths. Seriously though, it would be very helpful if you could share with us the calculations for just one natural gas price, for illustrative purposes.

Thanks!

Subject Re: Re: Re: Re: Formula Error
Entry 10/31/2025 08:39 AM
Member GLSV

Profit / unit of gas produced is simply revenue less the lease expense, severance taxes, capital costs and trust expenses (small). For capital costs plug in your assumption for annualized maintenance capex requirements divided by 12 months. Pre-2024 I just used actuals FWIW. In the midst of the capital program I shift to an estimate of sustaining capex. We don't know this number yet - Hilcorp is private and there is not much history. From there, using a simple linear regression against realized price is how you can derive an estimate monthly profit at any given price of natural gas. Multiple that by the volume produced.

A simplified formula after adjusting for the sloppy errors previously discussed (another being that I used the column including the total profit number not the 75% that is ultimately conveyed to the trust - apologies, doing this during earnings season isn't wise) is: Estimated distribution = $[(0.724 \times \text{Realized Gas Price} - 1.17) \times \text{annual volume}] / \text{shares}$.

At \$4, the math would be: $1.7235 \times \sim 27.66\text{m} / 46.61 \text{ shares} = \1.0 (18% yield). At \$3.50, which is the average YTD, it is a 14% yield. At \$6 gas that would work out to it would be a ~33% yield. Point of all this being that you have positive convexity to gas prices and even if gas remains rangebound in the \$3-\$4 range you can clip a decent coupon.

SJT Price:	5.65			
Shares:	46.61			
Est. Vol.	27.7			
Gas Price	Profit / Unit	Total Profit	Est. Distrib.	Yield
2.00	0.3	7.6	0.2	2.9%
2.50	0.6	17.6	0.4	6.7%
3.00	1.0	27.6	0.6	10.5%
3.50	1.4	37.7	0.8	14.3%
4.00	1.7	47.7	1.0	18.1%
4.50	2.1	57.7	1.2	21.9%
5.00	2.4	67.7	1.5	25.7%
5.50	2.8	77.7	1.7	29.5%
6.00	3.2	87.7	1.9	33.3%

Subject What will volumes look like go forward?
Entry 10/31/2025 10:13 PM
Member xds68

Do you have an estimate of the production profile / decline rate of the two Mancos shale wells?

Subject Re: Re: Re: Re: Re: Formula Error
Entry 10/31/2025 11:55 PM
Member otto695

Just so I understand, though, when you say "if gas remains range bound at \$3-\$4, you clip a decent coupon", that would be true, but the table in your report indicates San Juan gas has been range bound, about \$1 lower than that at \$2.02-\$2.89 for 2023 through 2025 YTD, which would correspond to a median yield of approximately 6.5%, no?

Subject reserves
Entry 11/03/2025 01:30 PM
Member otto695

Do you have any concerns regarding the reserve life? It seems a bit of a black box, but some analyses online say they could run out by as early as 2029....What are your thoughts on this aside from the reserve number you cite using the 2021 prices? TIA

Subject Re: reserves
Entry 11/12/2025 11:19 AM
Member GLSV

Below link gives a decent overview and outlines various scenarios. The ultimate outcome is obviously path dependent on pricing. To answer an earlier question regarding depletion rates, the appendix (pg. 32) outlines well performance and gives a more detailed overview of the Mancos.

<https://www.blm.gov/sites/default/files/docs/2025-07/rfd-oil-and-gas-blm-nm-ffo-071725.pdf>

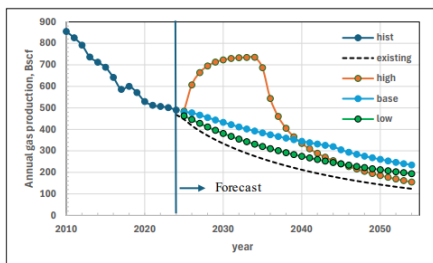


Figure 13. Total predicted San Juan gas production under three scenarios: high, base, and low.

Subject Tax reporting

Entry 11/16/2025 05:20 PM
Member xds68

I see this is a grantor trust, pass through, so can theoretically report depletion, etc - do you have to calc this manually, or does broker effectively make the calculation and include as misc income on 1099?

Subject Re: Re: reserves
Entry 12/15/2025 02:22 PM
Member UCB1868

How can we estimate the reserve life using \$3.50 to \$4 HH? Thanks.

Subject Update
Entry 03/20/2026 03:26 PM
Member GLSV

To those keeping score at home, January update was provided today. Getting closer...note, last month there was a \$3m adverse audit true-up which effectively has delayed things by a few months. SJT will likely exit winter fully recouping (almost) all the excess production cost but still be in need of rebuilding the cash reserve to a level higher than what existed prior to the most recent capital spending program. As such, there is potential for a divvy restart perhaps later this summer after incorporating the step-up in current year spending plans from Hillcorp. Of course, timing will ultimately depend on gas prices; shoulder season generally has seen weak pricing in-basin which is why summer timing looks better for resumption. For the overall US gas market, we exit winter roughly in-line with historical average storage. After trying to control for weather (i.e. heating/cooling degree days), conditions point to a somewhat favorable underlying gas fundamentals currently. And, unfortunately, the call on US natural gas LNG exports just got stronger.

